PIYUSH GOYAL, 59 | BJP
Minister of Commerce & Industry

Popular mandate The former investment banker fought his first Lok Sabha election this time, and won by a margin of over 350,000 votes from Mumbai North. He was also the BJP's leader of the House in the Rajya Sabha since 2021

Able administrator In the earlier two NDA regimes, Goyal had stints in several ministries, but it was the handling of the commerce & industry portfolio that brought him to the forefront. Known for his affable nature, he oversaw exports touching a record $778 billion in FY24 and signing of a historic pact with the European Free Trade Association this year

Minister of State



JITIN PRASADA
50 | BJP

The comeback A former Congressman, he won the Pilibhit seat in UP and has returned to the Centre as a minister after 10 years

WHAT NEEDS TO BE DONE

ADDRESS LIQUIDITY ISSUES
In such challenging times, both the flow of credit to and the cost of credit for exporters have to be addressed. While the commodities and freight prices have gone up amid a global slowdown and geopolitical tensions, clients are taking longer to make payments. Exporters need to get larger sums of credit, that too for a longer duration

EXTEND INTEREST SUBVENTION
Providing loans at cheaper rates to eligible businesses, it is one of the most effective instruments to remove cost disability of Indian exports at a time when bank rates in India are far higher than in competitor economies. When the overall interest rates came down, the Centre also reduced the interest subvention (assistance) for exporters. Now that the repo rate has risen to 6.5 per cent, the subvention rates should be restored to what they were earlier—5 per cent for MSMEs and 3 per cent for labour-intensive sectors—so that exporters can commit to long-term contracts

FACILITATE BETTER MARKETING
Small and medium enterprises do not have the financial wherewithal to showcase themselves globally. The total marketing support corpus is now a miniscule Rs 200 crore, nowhere near the 0.5 per cent of the total exports that businesses have demanded. For around $800 billion (Rs 66.83 lakh crore) worth of exports, it means setting aside $4 billion (Rs 33,400 crore) for marketing

TRADE CONNECT
In January, Piyush Goyal had announced the initiation of work on an e-platform to help Indian exporters connect with international buyers. A welcome step, the Trade Connect platform should be launched soon

FINALISE FTAs
India is expected to sign a free trade agreement (FTA) with Oman in the first 100 days of Modi 3.0. Other FTAs need to be expedited too, including the ones with the UK, Peru, and the Russia-led Eurasian Economic Union. The last will provide India access to markets in five resource-rich post-Soviet economies

Experts also believe that the tariff war between the US and China could open new windows of opportunity for India's export sector. However, there is a dire need to boost merchandise exports. India's overall exports grew marginally to $778 billion (Rs 64.99 lakh crore) in FY24 from $776.3 billion (Rs 64.85 lakh crore) the previous fiscal. But, of this, merchandise exports, which form the major chunk, recorded a 3 per cent decline from $451 billion (Rs 37.63 lakh crore) to $437 billion (Rs 36.46 lakh crore). Services exports fared better, rising by nearly 5 per cent and acting as the key driver of growth.

A comprehensive road map to boost merchandise exports is expected to be chalked out this term to address this major concern, aligning with the target of $1 trillion exports in the sector by 2030. The other key area to be addressed is the signing of the free trade agreement (FTA) with Oman, talks for which had concluded earlier this year. There could be a delay in signing the FTA with the UK though, since it is heading for election in July. Negotiations for similar agreements with the European Union and Peru could also continue, while talks with the South African Customs Union (SACU), Chile and the Gulf Cooperation Council (GCC) are slated to take place over the next few months. ■

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